Hyundai Mobis (012330 KS)

3Q26 review: forex headwinds, but robotics offers upside

3Q26 OP of W914.1bn, a reasonably solid performance

The decline in company-wide OPM (5.8%, -0.2%p QoQ) was likely due to a lower average forex rate in the after-sales (AS) business. The module and core parts division remained profitable, while electrification business revenue (W1.6tn, +3.5% QoQ) grew thanks to higher European EV volumes. The fact that an improved product mix, centered on automotive electronics, offset rising raw materials costs, implies that profitability at the electrification business is improving.

Negative forex impacts to materialize in earnest in 4Q26, especially for AS

AS OPM (25.5%, -2.3%p QoQ) in 3Q26 was most heavily affected by a lower average USD/KRW rate (W1,423, -5% QoQ). If the decline deepens in 4Q26 (-6% QTD), AS profitability will fall further.

Implications of 4Q26 OP hitting W1tn milestone

Management stated that it expects 4Q26 OP to reach the W1tn mark for the first time. In other words, if AS OP decreases from 3Q26 (W881bn) as we expect, this conversely implies that OP in the parts division could surge in 4Q26 (W33bn in 3Q26). This means seasonal raw materials cost pass-throughs (recoveries) will occur on a substantial scale, and indeed, prices of semiconductors and key raw materials have been rising in 2Q-3Q26.

Maintain BUY and top-pick status despite target price cut

We revise down our target price on lower AS profitability due to changes in our 2027E forex assumptions. Nevertheless, the extent of the target price cut is limited compared to sector peers, as there is no change to the fair value of the company's robotics hardware supply business. The investment point that the company can secure an early-mover advantage as a global robotics hardware supplier capable of volume production, starting with actuators bound for Boston Dynamics (BD), remains unchanged.

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BUY (M)

Target price	W660,000 (Down)
Previous target price	W780,000
Current price (Oct 30)	W334,000
Upside potential	98%

Market cap (Wbn)	30,000
Shares outstanding	89,824,559
Avg daily T/O (2M, Wbn)	114
Avg daily volume (2M, shrs)	272,176
52-week high/low (won)	768,000 / 288,000
Foreign ownership (%)	37.26%
Dividend yield (%)	0.00%
Major shareholders	Kia Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	(9.0)	(24.9)	8.8
Relative	8.6	(26.7)	(22.4)
Abs (US$)	(7.7)	(19.1)	16.3

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	15,723	4.6	-3.7	15,723	0.0
OP	914	17.1	-6.3	914	0.1
Pre-tax net profit	1,322	4.8	-2.5	1,381	-4.3
Net profit, CI	993	6.8	-6.2	1,001	-0.9
OPM (%)	5.8	+0.6 %pt	-0.2 %pt	5.8	0
NPM (%)	6.3	+0.1 %pt	-0.2 %pt	6.4	-0.1 %pt

Note: CI = controlling interest

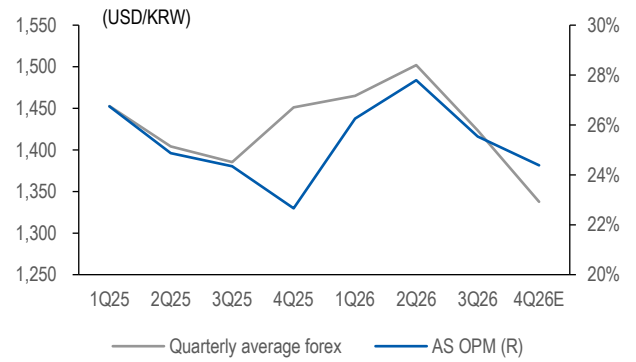
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	57,237	61,118	64,862	68,660
OP	3,073	3,357	3,772	3,752
Net profit, CI	4,056	3,656	4,071	4,099
P/E (x)	5.4	6.8	7.4	7.4
P/B (x)	0.5	0.5	0.6	0.5
EV/EBITDA (x)	3.6	3.7	4.0	3.6
ROE (%)	9.4	7.7	7.9	7.4

Source: Yuanta Securities

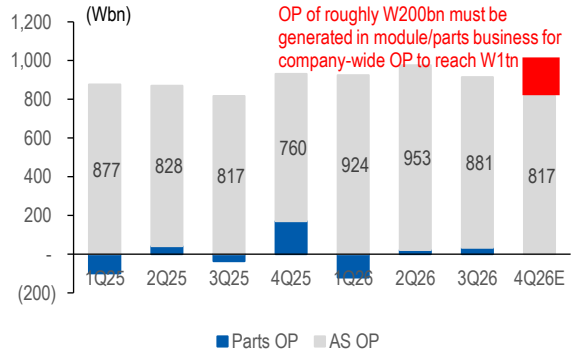
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Quarterly OPM volatility in AS business stems from average forex, further decline expected in 4Q26



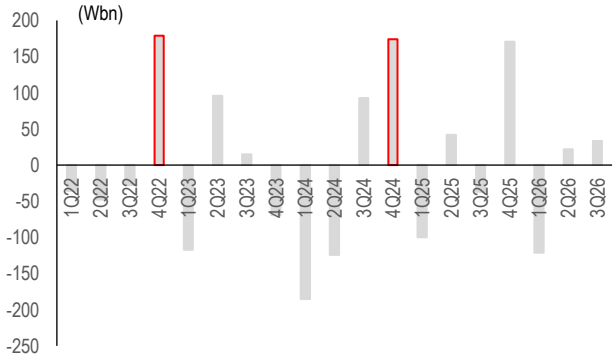
Note: 4Q26E is our estimate, Source: DART, Yuanta Securities

Based on estimates, 4Q26E AS OP should be in low-W800bn range



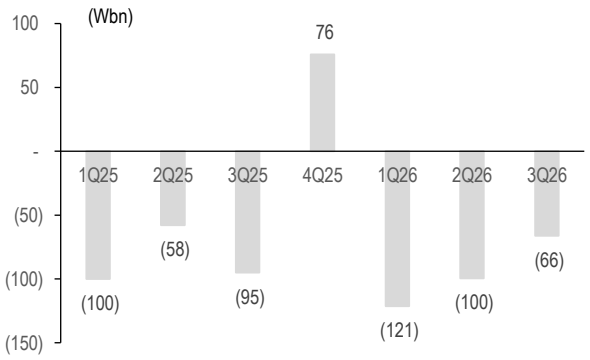
Note: 4Q26E is our estimate, Source: DART, Yuanta Securities

4Q is typically quarter for recovering cost increases in module/parts business



Note: 4Q23 reflects one-off quality expense in module/parts business
Source: company data, Yuanta Securities

Cumulative quarterly trends point to unrecovered costs awaiting settlement



Source: company data, Yuanta Securities

Hyundai Mobis: quarterly and annual earnings forecast

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	14,752	15,936	15,032	15,398	15,561	16,325	15,723	17,254	61,118	64,862	68,660
Parts/module	11,474	12,607	11,675	12,044	12,042	12,894	12,274	13,903	47,800	51,113	53,295
AS	3,278	3,330	3,357	3,354	3,519	3,430	3,449	3,350	13,318	13,749	15,365
OP	777	870	780	930	803	975	914	1,023	3,357	3,772	3,752
Parts/module	-100	42	-37	171	-121	22	33	263	76	197	34
AS	877	828	817	760	924	953	881	817	3,282	3,575	3,718
OPM (%)	5.3%	5.5%	5.2%	6.0%	5.2%	6.0%	5.8%	5.9%	5.5%	5.8%	5.5%
Parts/module	-0.9%	0.3%	-0.3%	1.4%	-1.0%	0.2%	0.3%	1.9%	0.2%	0.4%	0.1%
AS	26.7%	24.9%	24.3%	22.7%	26.3%	27.8%	25.5%	24.4%	24.6%	26.0%	24.2%

Source: DART, Yuanta Securities

Hyundai Mobis: target price and valuation

	2027E
Parts NOPAT (Wbn)	25
Target P/E (x)	12
AS NOPAT (Wbn)	2,789
Target P/E (x)	13
Market cap of Hyundai Motor stake (Wbn)	12,875
Discount rate	30%
Fair value of parts (Wbn)	**304**
Fair value of AS (Wbn)	**36,254**
Fair value of Hyundai Motor stake (Wbn)	**9,013**
BD fair value (Wbn)	50,000
Stake	11%
Discount rate	50%
BD stake-based fair value (Wbn)	**2,813**
Fair value of robot parts business for BD (Wbn)	**11,250**
Fair market cap (Wbn)	**59,632**
Outstanding common shares ('000)	90,727
Target price (won)	660,000

Source: Yuanta Securities

Hyundai Mobis (012330 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**57,237**	**61,118**	**64,862**	**68,660**	**71,485**
Cost of sales	49,174	52,288	55,392	58,842	60,763
Gross profit	8,063	8,830	9,470	9,818	10,723
SG&A	4,989	5,472	5,698	6,066	6,244
Operating profit	**3,073**	**3,357**	**3,772**	**3,752**	**4,478**
EBITDA	4,058	4,525	5,132	5,276	6,140
Non-operating profit	2,191	1,758	1,743	1,800	1,879
Forex gains	112	41	-21	-24	-27
Net interest income	296	225	272	332	414
Equity-method gains	1,788	1,400	1,400	1,400	1,400
Other	-4	92	92	92	92
Net prof before income tax	5,264	5,115	5,515	5,552	6,357
Income tax	1,204	1,450	1,434	1,444	1,653
Net profit from continuing ops	4,060	3,665	4,081	4,109	4,705
Net profit from discontinued ops	0	0	0	0	0
Net profit	4,060	3,665	4,081	4,109	4,705
NP for controlling interest	**4,056**	**3,656**	**4,071**	**4,099**	**4,693**
Total comprehensive income	5,918	4,028	4,444	4,472	5,068
Total comprehensive income, CI	5,913	4,020	4,435	4,463	5,058

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**28,424**	**30,366**	**32,236**	**34,318**	**37,437**
Cash & cash equivalents	4,788	4,922	5,997	7,471	10,306
Accounts receivables & other	10,396	10,931	11,259	11,394	11,325
Inventory	6,763	6,862	7,282	7,709	8,026
Non-current assets	38,173	40,034	43,150	45,724	47,691
Tangible assets	12,003	12,347	13,585	14,655	15,579
Investment in affiliates	22,410	23,679	25,573	27,108	28,192
Other investment assets	1,028	1,110	1,110	1,110	1,110
Total assets	**66,597**	**70,401**	**75,386**	**80,042**	**85,128**
Current liabilities	12,745	13,058	13,778	14,508	15,051
Accounts payable & other	8,888	9,172	9,734	10,304	10,728
ST financial liabilities	648	796	796	796	796
Liquid LT liabilities	569	511	511	511	511
Non-current liabilities	7,733	8,130	8,083	8,242	8,508
LT financial liabilities	1,728	1,759	1,359	1,159	1,159
Debentures	200	60	60	60	60
Total liabilities	**20,479**	**21,188**	**21,861**	**22,750**	**23,560**
Equity, controlling interest	46,081	49,168	53,470	57,228	61,492
Paid-in capital	491	491	491	491	491
Capital surplus	1,367	1,377	1,377	1,377	1,377
Retained earnings	42,911	45,225	49,163	52,557	56,457
Equity, non-controlling interest	37	45	55	65	77
Total equity	**46,118**	**49,213**	**53,525**	**57,293**	**61,568**
Net debt	**-7,088**	**-8,147**	**-9,622**	**-11,296**	**-14,131**
Total debt	3,554	3,668	3,268	3,068	3,068

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**4,253**	**4,473**	**4,984**	**5,380**	**6,331**
Net profit	4,060	3,665	4,081	4,109	4,705
Depreciation & amortization	903	1,065	1,261	1,430	1,576
Forex gains	15	-19	21	24	27
Affiliate investment gains	-1,773	-1,438	-1,400	-1,400	-1,400
Increase in net working cap	-822	-708	-672	-471	-257
Other	1,870	1,907	1,694	1,688	1,680
Investing cash flow	**-4,589**	**-3,234**	**-4,477**	**-4,098**	**-3,628**
Investment	-2,739	-1,771	-1,894	-1,535	-1,084
Increase in tangible assets	-2,204	-1,348	-2,500	-2,500	-2,500
Decrease in tangible assets	116	66	0	0	0
Other	238	-181	-82	-63	-44
Financing cash flow	**-255**	**-1,205**	**-1,691**	**-2,064**	**-1,952**
ST financial liabilities	90	148	0	0	0
Debenture/LT financial liabilities	714	-35	-400	-200	0
Equity	4	10	0	0	0
Cash dividend	-406	-583	-132	-705	-793
Other cash flow	-657	-745	-1,159	-1,159	-1,159
Consolidation adj and other	300	100	2,258	2,256	2,084
Increase in cash & equivalents	**-291**	**134**	**1,075**	**1,474**	**2,834**
Beginning cash & equivalents	5,079	4,788	4,922	5,997	7,471
Ending cash & equivalents	4,788	4,922	5,997	7,471	10,306
NOPLAT	3,073	3,357	**3,772**	**3,752**	**4,478**
FCF	**2,049**	**3,125**	**2,484**	**2,880**	**3,831**

Valuation

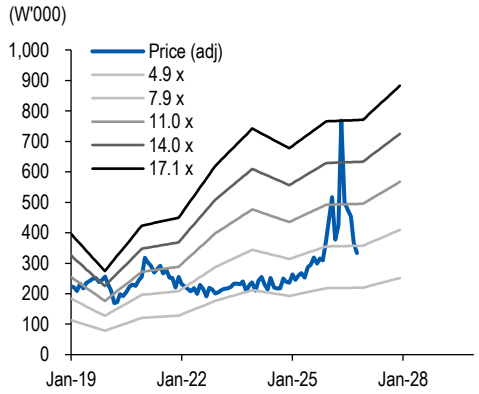
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	43,481	39,684	44,870	45,177	51,729
BPS (won)	509,212	558,145	606,985	649,642	698,045
EBITDA/shr (won)	43,506	49,121	56,563	58,148	67,675
SPS (won)	613,625	663,422	714,911	756,772	787,913
DPS (won)	6,000	1,500	8,000	9,000	9,000
P/E (x)	**5.4**	**6.8**	**7.4**	**7.4**	**6.5**
P/B (x)	**0.5**	**0.5**	**0.6**	**0.5**	**0.5**
EV/EBITDA (x)	**3.6**	**3.7**	**4.0**	**3.6**	**2.6**
P/S (x)	**0.4**	**0.4**	**0.5**	**0.4**	**0.4**

Key financial data

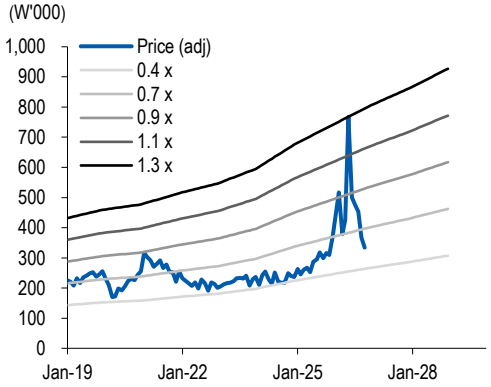
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-3.4**	**6.8**	**6.1**	**5.9**	**4.1**
Operating profit (%YoY)	**33.9**	**9.2**	**12.3**	**-0.5**	**19.4**
Net profit, CI (%YoY)	**18.5**	**-9.9**	**11.4**	**0.7**	**14.5**
Gross margin (%)	14.1	14.4	14.6	14.3	15.0
Operating margin (%)	**5.4**	**5.5**	**5.8**	**5.5**	**6.3**
Net margin, CI (%)	7.1	6.0	6.3	6.0	6.6
EBITDA margin (%)	7.1	7.4	7.9	7.7	8.6
ROIC (%)	12.9	12.1	14.7	13.9	15.4
ROA (%)	6.5	5.3	5.6	5.3	5.7
ROE (%)	**9.4**	**7.7**	**7.9**	**7.4**	**7.9**
Debt-to-equity (%)	44.4	43.1	40.8	39.7	38.3
Net debt-to-equity (%)	-15.4	-16.6	-18.0	-19.7	-23.0
OP/financing cost (x)	23.8	19.0	22.2	24.2	29.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

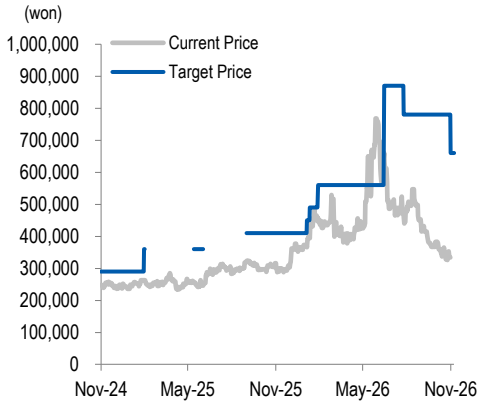
P/E band chart



P/B band chart



Hyundai Mobis (012330 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	660,000	1 yr		
2026/07/27	BUY	780,000	1 yr	-46.51	-29.87
2026/06/16	BUY	870,000	1 yr	-41.41	-27.47
2026/01/29	BUY	560,000	1 yr	-13.52	37.14
2026/01/12	BUY	490,000	1 yr	-7.11	-0.51
2026/01/06	BUY	450,000	1 yr	-12.37	-11.22
2025/09/02	BUY	410,000	1 yr	-22.16	-7.93
	Analyst changed				
2025/05/15	BUY	360,000	1 yr	-30.75	-26.94
2024/12/21	After 1yr		1 yr	-14.09	-9.14

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
  2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 02, 2026

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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